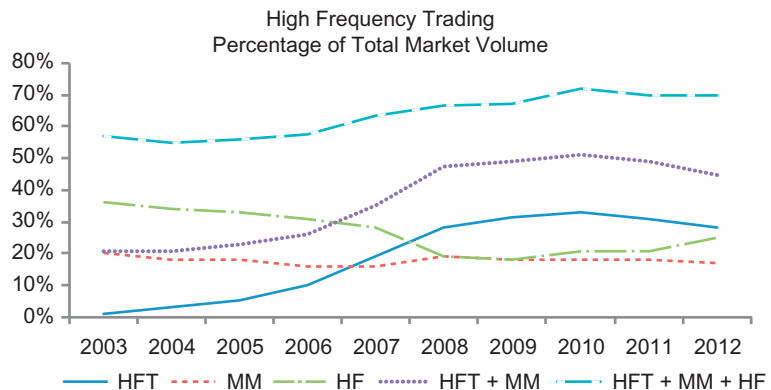


detrimental to the general markets. Their trading must be toxic. A similar situation occurred back in the early 2000s when traditional hedge funds were highly profitable. They were greatly criticized at the time for being “fast money” and causing price dislocations due to their buying and selling pressure, which wasn’t good for, you’ve guessed it, retail investors.

As a follow-up to the high frequency criticism, many financial pundits are stating that high frequency trading accounts for upwards of 50–70% of total market volumes. These are much different values than what our research has found. We estimated high frequency trading to account for only 33% of total volume. What is behind this difference? It just so happens that this difference is due to the definition of “high frequency” trader. These parties have grouped high frequency traders (our rebate trader definition) with market maker participants and some hedge fund traditional statistical arbitrage traders (including pairs trading, index arbitrage, and market neutral strategies).

Figure 1.11 shows a plot of the percentage of market volume for high frequency trading (HFT), market making (MM), and hedge funds (HF). Notice the increasing trend of HFT and the initial decrease in HF trading percentage, but with a recent increase. Market making (MM) appears to have been relatively steady, but has decreased from about 20% down to 17% of market volumes. Notice our maximum HFT market volume percentage of 33% in 2010. We additionally plot trends consisting of high frequency trading and market making (HFT + MM) and high frequency trading, market making, and hedge funds (HFT + MM + HF). Notice that at the peak of the financial crisis, 2008–2009, high frequency trading was only about 33% of total market share—a large discrepancy from the widely reported 50–70%. But the combination of HFT and MM



■ Figure 1.11 High Frequency Trading Percentage of Total Market Volume.